Apprenticeship Additional Knowledge Unit

Lesson 1

WESTON COLLEGE | Mindful Education

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Study Information and Tips

- This Study Text replicates the video content for the lesson
- Supplementary knowledge can also be found in the information sheets and text boxes that accompany the videos, as well as in the resources in the Insights section
- Activities to help you consolidate your knowledge are deliberately delivered through practice questions and exercises found in the Test and Apply sections on the VLE. These help you to further build on your knowledge and apply the learning in a way that supports your assessment
- You can use this Study Text to test your understanding of the learning content at the end of each lesson. It may also be helpful to refer to it when preparing for your assessments
- We recommend that you also produce your own notes in addition to the Study Text. Research has shown that handwritten notes can be very effective for learning retention
- If you decide to print this Study Text, set the layout to print 4 or 6 slides per page to save on paper and ink

Business Sustainability and the External Operating Environment

- Introduction to the twin concepts of business sustainability and CSR
- Influential sustainability models – the ‘Pyramid of CSR’ and ‘Triple Bottom Line’
- Three pillars of sustainability – environmental, economic and social
- The business case for sustainability and growing external pressures
- Standards and frameworks for integrating ethical and sustainable practices
- Identifying opportunities to improve organisational sustainability

Organisational Responsibilities

Sustainability has become a critical focus for citizens and governments worldwide in recent years, driven by growing environmental concerns and increasing societal expectations.

In response, many organisations have introduced a range of initiatives to try and reduce their environmental impact and increase their positive influence on their local communities and the wider world.

Profit at All Costs?

The notion that companies have any responsibilities outside of just making a profit is a relatively recent development.

As late as the 1960s, the renowned US economist Milton Friedman asserted that businesses have no “social responsibility other than to make as much money for their stockholders as possible”.

According to Friedman, companies that ventured into areas like social welfare or environmental protection were diverting attention from their primary purpose of generating wealth.

Environmental and Societal Impact

However, over the past few decades, this view has been challenged and largely rejected. Today, there is broad consensus that businesses must also consider their impact on the environment and wider society.

Companies are increasingly being held to account for their role in addressing urgent global challenges, from climate change and human rights, to poverty and inequality.

This shift has given rise to two important concepts – ‘CSR’ and sustainability. These terms are closely related, and are often used interchangeably. However, they represent distinct approaches, and have different implications for how businesses engage with the world around them.

Corporate Social Responsibility (CSR)

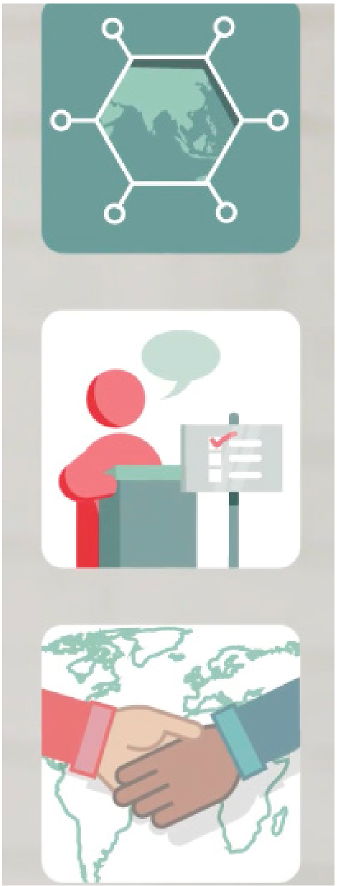
'CSR', which stands for 'corporate social responsibility', refers to a voluntary, self-regulating approach to conducting business in a way that supports environmental, societal and other ethical ends.

It is about businesses acknowledging their role in society, and proactively choosing to act in ways that benefit their employees, customers, communities and the environment. This often includes initiatives like reducing carbon emissions, supporting local charities, ensuring fair labour practices, and promoting diversity and inclusion.

Essentially, CSR provides an internal, bottom-up framework that informs how companies should operate. CSR policies are generated by organisations, for organisations.

Sustainability

In contrast, sustainability is a broader, externally driven concept, with far-reaching implications. It's focused on ensuring that individuals, businesses and societies can continue to thrive without depleting natural resources, or harming the environment for future generations.



Unlike CSR, which is voluntary and specific to individual companies, sustainability is shaped by global frameworks, public policies, and international agreements.

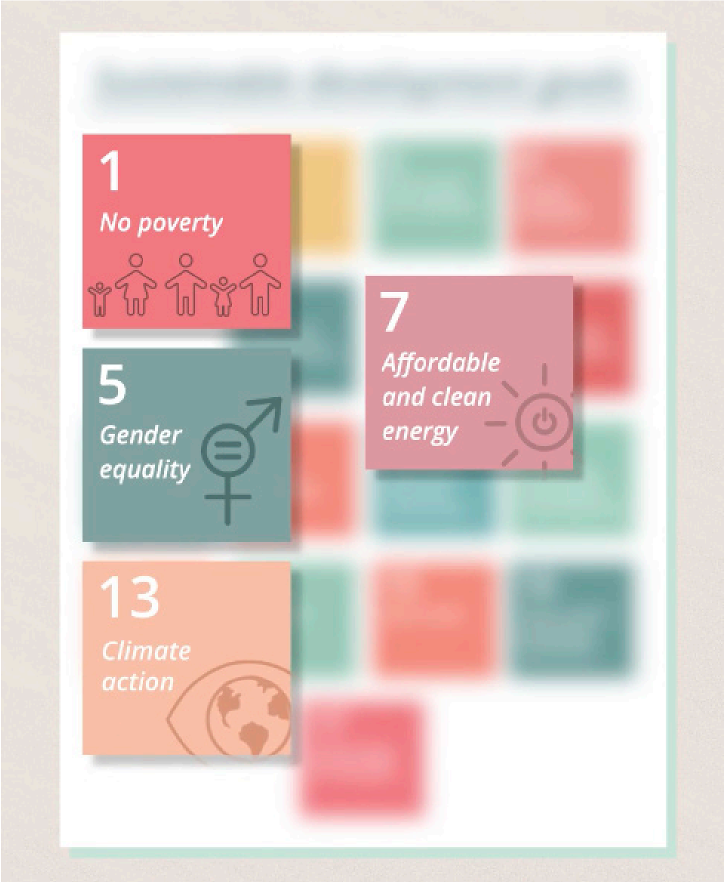
The idea of sustainability gained widespread attention in the 1980s. A United Nations (UN) report on sustainable development emphasised the importance of meeting present demands, without compromising the ability of future generations to meet their own.

UN ‘Sustainable Development Goals’

This concept evolved further in 2015, when the UN created its set of ‘Sustainable Development Goals’.

This is a list of seventeen objectives designed to help promote economic, social and environmental sustainability around the world. They include:

- Ending poverty
- Providing access to clean energy
- Advancing gender equality
- Combating climate change



UN ‘Sustainable Development Goals’ (cont.)

The ‘Sustainable Development Goals’ provide a comprehensive framework for global cooperation, by guiding both public and private sector efforts to tackle complex challenges.

They offer measurable targets for progress, and give a clear direction for businesses, governments, and the rest of society to follow.

Importance of Business Sustainability

So, businesses today are expected to do more than just pursue profit – they must also consider their role in addressing the world's most pressing challenges.

CSR and sustainability initiatives represent this growing recognition that organisational success must not come at the expense of the planet or wider society.

Combined Focus – CSR and Sustainability

While CSR and sustainability share common ground – both emphasise the need for businesses to act ethically and responsibly – they differ in their scope and approach.

CSR is typically an internal, company-driven initiative, focused on ethical conduct within a specific organisation.

Sustainability, on the other hand, is a global, public-policy driven approach that requires coordinated action from governments, businesses and individuals to ensure the long-term survival of the planet.

Models of CSR and Sustainability

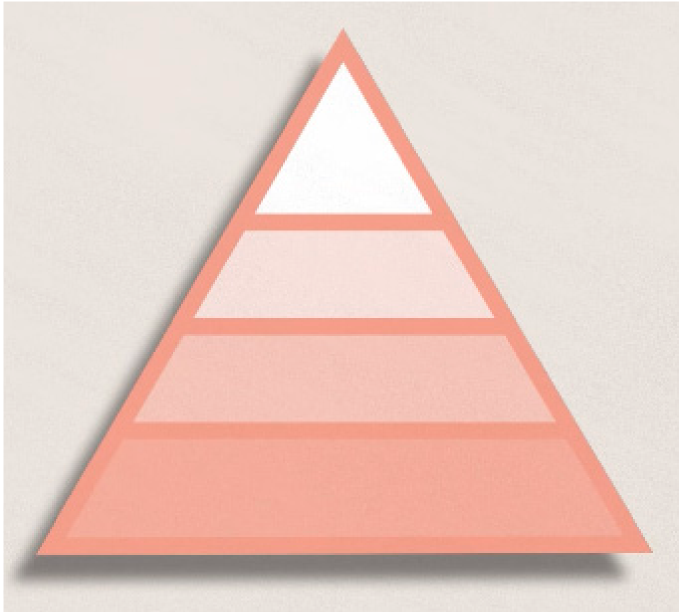
You should now have some understanding of the concepts of CSR and sustainability and what makes them distinct.

Let's build on that knowledge by exploring the practical implications of these concepts for organisations – that is, what does implementing CSR or sustainability actually involve?

We'll examine two influential models here.

Carroll's 'Pyramid of Corporate Social Responsibility'

In 1979, US management professor Archie Carroll developed the 'Pyramid of Corporate Social Responsibility', one of the first comprehensive frameworks for understanding the responsibilities businesses have to wider society. Carroll's model outlines four distinct levels of CSR. These are:

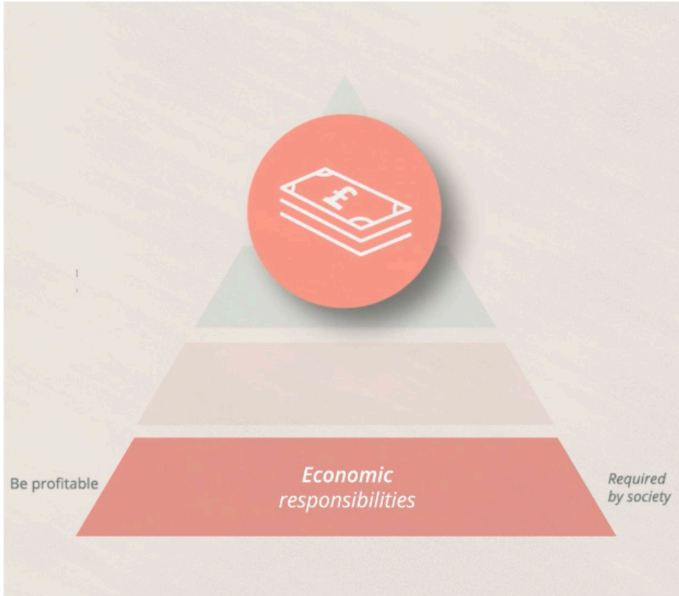


- Economic
- Legal
- Ethical
- Philanthropic

He visualised these responsibilities as a pyramid made of building blocks, to illustrate how they 'stack' on top of one another – with the most fundamental responsibilities at the bottom, and the more discretionary ones at the top.

Economic

At the foundation of the pyramid are 'economic responsibilities'. Carroll argued that the primary role of a business is to produce goods and services that society needs, while making a profit.



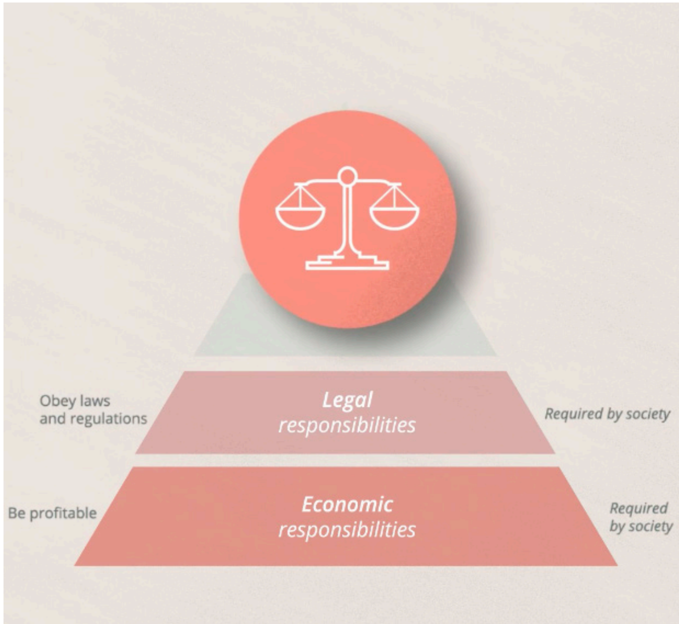
Although this might seem like a purely business-related goal, Carroll suggested it is, in fact, a societal expectation. Society allows businesses to earn profits, as long as they produce the goods and services it needs.

Profitability is the base on which every other responsibility is built – without it, the organisation cannot sustain itself or fulfil its other responsibilities.

Legal

However, this pursuit of profit cannot come at the expense of breaking the law, so organisations also have 'legal responsibilities' – the next level of the pyramid.

Companies must comply with society's rules, such as labour laws, environmental regulations, and financial reporting requirements.



Ethical

Obeying the law alone is also not enough. Moving up the pyramid, Carroll proposed that businesses then have 'ethical responsibilities', which go beyond legal compliance.

These obligations require companies to act in ways that stakeholders – such as consumers, employees, and investors – consider fair, just and morally acceptable.

This includes treating workers with respect, being transparent with customers, and ensuring fair business dealings. Although businesses may not be legally required to go beyond the 'letter of the law', they must behave ethically to maintain trust and legitimacy in the eyes of society.

Philanthropic

At the top of Carroll's pyramid are 'philanthropic responsibilities'. These are voluntary actions that businesses may choose to take in order to make a positive contribution to society.

Examples include charitable donations, community outreach programmes, and supporting the arts and education.

Although philanthropy is not seen as a requirement, in the same way as an organisation's economic, legal and ethical duties, it's encouraged by society as a way for businesses to 'give back'. Carroll described philanthropy as "the icing on the cake".

Evaluating Carroll's 'Pyramid of CSR'

Carroll's model suggests that a socially responsible company must deliver on all four of their responsibilities – as shown in his pyramid. In his words, a sustainable business should aim to "be profitable, obey the law, be ethical, and be a good corporate citizen".

Despite having been developed over 40 years ago, Carroll's model remains a valuable tool for trying to understand the complex web of responsibilities and societal expectations that organisations face.

Evaluating Carroll's 'Pyramid of CSR' (cont.)

Although the model is widely respected, it has faced a degree of criticism. Some scholars argue that its origins in the US capitalist free market mean that it is not applicable in non-Western or developing regions.

For example, sustainability expert Wayne Visser has pointed out that CSR expectations vary greatly across countries and communities. What is considered acceptable in one culture may not be the same elsewhere. He contends that it's a myth that "CSR is the same the world over" and that each region, country and community has a different set of CSR drivers.

Similarly, other critics question whether the pyramid is relevant for all types of organisations, such as public institutions, not-for-profit companies and small businesses.

Other Models of Sustainability

Carroll's 'Pyramid of CSR' provides a useful framework for understanding the different layers of CSR.

However, as we learned earlier in the lesson, sustainability is distinct from CSR – so we also need to understand how businesses can incorporate this broader approach into their operations.

What Does a Sustainable Business Look Like?

Sustainability has become a key priority for businesses in recent years. They face mounting pressure from employees, consumers, governments, and investors to reduce their environmental impact, and address social challenges.

But this raises an important question – what does a sustainable business actually look like?

To help us understand this, we can turn to the work of business consultant John Elkington, and his concept of the 'Triple Bottom Line'.

Elkington's 'Triple Bottom Line'

This model challenges the traditional notion that businesses should only measure their success in financial terms. Historically, the financial bottom line – that is, revenue and profit – was the main indicator. The more money a company made, the more successful it was deemed to be.

But Elkington believed that this focus on financial performance alone was too narrow for understanding the true impact of a business. He felt that a company's value should also be assessed based on its broader contributions to the environment and wider society.

Wider Assessment of Performance

As he put it, “Success or failure cannot be measured only in terms of profit and loss. It must also be measured in terms of the wellbeing of billions of people and the health of our planet”.

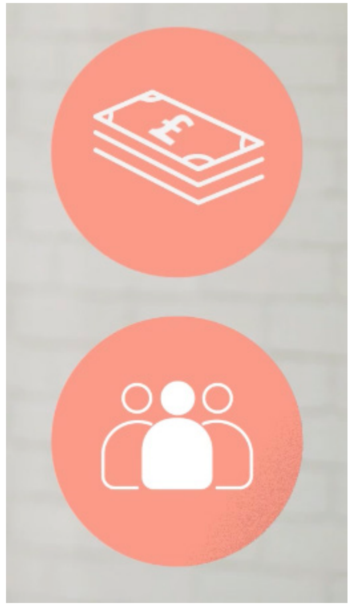
So, alongside the traditional financial measures, Elkington proposed that organisations should also assess their social and environmental performance. Together, these three measures form a ‘Triple Bottom Line’.

Financial Bottom Line

The ‘financial bottom line’ measures a company’s economic performance. However, Elkington believed that this isn’t only about profit.

A sustainable business should also consider the broader economic impact it has on its employees, suppliers and communities.

This includes paying fair wages, creating economic opportunities, and making contributions to the local economy.

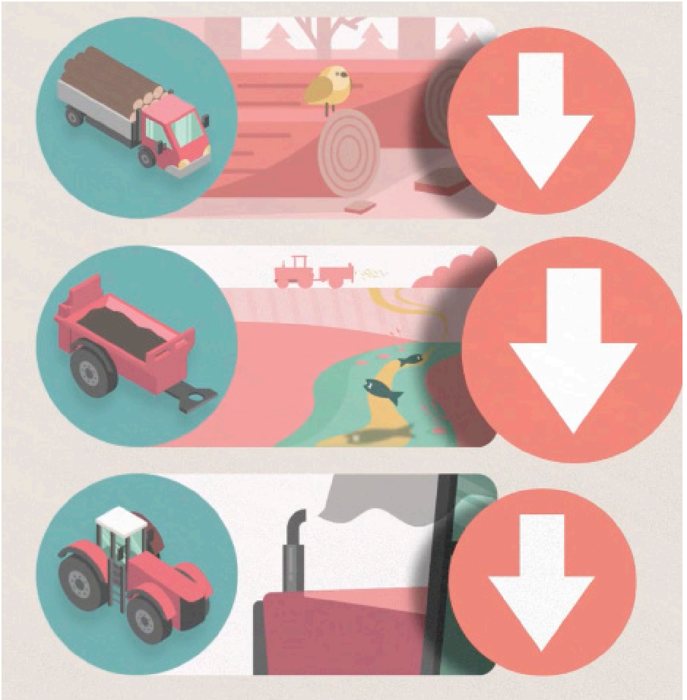


Environmental Bottom Line

The ‘environmental bottom line’ reflects a company’s impact on the natural world.

A sustainable business should minimise its environmental footprint by optimising resources, cutting waste, and reducing pollution.

It must also take steps to protect biodiversity and contribute to the health of natural ecosystems.



Social Bottom Line

The ‘social bottom line’ focuses on the impact a company has on people – both within the organisation and the wider community.

A sustainable business should treat its employees fairly, uphold human rights and engage with its local community.

This involves providing safe working conditions, promoting diversity and inclusion, supporting community development, and engaging in ethical business practices that respect the rights of local populations.

Characteristics of a Sustainable Business

So, let's return to our original question – 'what does a sustainable business look like?' According to Elkington's 'Triple Bottom Line' framework, a sustainable business:

- Achieves economic value by being financially viable and profitable, but in a way that benefits all stakeholders – not just owners and investors
- Has a positive social impact on people, both inside and outside the organisation, by fostering fairness, inclusivity and social justice
- Minimises harm to the environment by reducing its ecological footprint, conserving resources, and contributing to the long-term health of the planet

Balanced Outlook for Growth

In other words, a sustainable business doesn’t simply focus on maximising profits. It seeks to balance profit with social and environmental responsibility to create long-term value for people, communities and the planet.

By adopting the ‘Triple Bottom Line’ approach, companies can work towards measuring their success in a way that reflects their broader impact on the world.

This helps to address some of the most urgent challenges of our time, while ensuring organisations’ own long-term survival and growth.

Evaluating Elkington's 'Triple Bottom Line'

You may sometimes see Elkington's model being referred to as the 'three Ps' model of 'profit, people and planet'.

However, Elkington took issue with this characterisation of his theory because he felt that a company's financial bottom line should go beyond mere profit, and instead consider the wider economic impact – such as the value created for employees, suppliers and the wider community.

Evaluating Elkington's 'Triple Bottom Line' (cont.)

Regardless, Elkington's model remains popular – although it has not been without criticism. Indeed, Elkington himself has called for a "recall" of his concept because he feels as though many early adopters understood his model as a "balancing act" and have adopted a "trade-off mentality", rather than aiming to achieve progress on all three elements.

In his words, "Whereas CEOs, CFOs and other corporate leaders move heaven and earth to ensure they hit their profit targets, the same is very rarely true of their people and planet targets. Clearly, the 'Triple Bottom Line' has failed to bury the single bottom line paradigm".

Environmental Sustainability

Having explored the different aspects of CSR and sustainability – environmental, economic and social – let's now focus on them individually.

We'll start with environmental sustainability, looking at organisations' impact and how managers can help to reduce environmental damage.

The UN sees climate change as "the defining issue of our time" and it is no surprise that when employers consider sustainability, their thoughts often turn first to the environmental impact of their operations.

Impact of Business on the Environment

Industry accounts for around a quarter of the world's energy-related carbon emissions, so it is clear that organisations must adapt their operations to make them more sustainable.

If they do not, companies will continue to contribute to environmental breakdown and its devastating effects – which include increased extreme weather events, rising sea levels, irreplaceable habitat loss, and food and water shortages.

Manager’s Role in Environmental Sustainability

Organisations impact the environment in many different ways. They use energy and water, produce waste, and generate pollution.

As a manager, it’s important to understand all of your organisation’s environmental impacts, and consider what sustainable practices you could implement to minimise this harm.

Your influence here will vary according to your exact role within the company.

Optimise Production and Logistics

You'll be able to have the most direct impact if you are involved in business operations, such as production or logistics.

For example, if you work in research and development, you should consider the lifespan of the products you make, and aim to ensure that they are easy to repair. If not, you could try to use materials that can be recycled, or disposed of in an environmentally friendly way.

Optimise Production and Logistics (cont.)

If you manage a manufacturing process, you might review its efficiency. Could you redesign the assembly line to reduce energy use? Are there opportunities to reuse or recycle materials? And does equipment need to be left on standby when not operational, or can it be switched off completely?

If you oversee shipping and fulfilment, you could optimise delivery routes, or consider switching to electric vehicles.

Or you may review the packaging your company uses, and see if this could be reduced or sourced more sustainably.

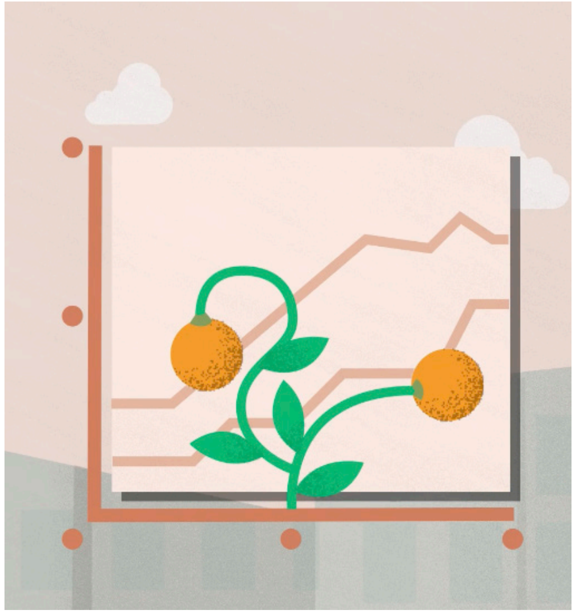
Improve Processes and Operations

Such actions are not only reserved for firms that produce goods – organisations providing services can also make a difference.

For instance, a finance professional could widen the range of climate-friendly investment products they offer.

Or an architect might plan green spaces in a new building complex, so that wildlife is able to flourish, even within an office or industrial setting.

And a healthcare professional could promote the use of digital records – rather than paper files – to help reduce waste.



Review Purchasing Decisions

Moving beyond an organisation's own operations, many mid-level and high-level managers can also have a major impact on their company's supply chain.

If you are responsible for purchasing goods and services, you should consider the environmental impact of your choices.

For example, are the raw materials you buy produced sustainably? Are they packaged in a way that minimises waste? Could you source them more locally to cut down on transport emissions?

Review Purchasing Decisions (cont.)

And you should expand this thinking to all the day-to-day goods and services your company buys. For instance, you might ask yourself questions like:

- Is our printer paper recycled?
- Is our electricity generated from renewable sources?
- Are the cleaning products we use in the office free from harmful chemicals?

Indeed, everyone in the organisation should be encouraged to factor these sorts of environmental considerations into all their buying decisions, alongside the usual criteria of price and quality.

Influence Employee Behaviour

Next, all managers can try to influence employee behaviour. For example, you could encourage your team members to adopt eco-friendly habits, such as only printing documents when absolutely necessary, and making sure that people recycle their waste.

And you might also try to adopt more digital ways of working – for instance, holding meetings online, rather than in person, to cut down on unnecessary travel.

Guide Consumer Behaviour

Finally, looking outside the organisation, managers in some areas may be able to guide consumer behaviour.

For example, in the hospitality business, a hotel manager might give guests the option to skip daily linen changes to reduce laundry-related energy and water use.

Or a gym manager could encourage customers to bring their own reusable bottles, by charging a high price for bottled water.

And a pharmacy manager may offer to recycle pill packs using designated collection bins in-store.

The Linear Economy

As a manager, you may have the opportunity to drive meaningful change and minimise your organisation's environmental impact through a combination of operational improvements, supply chain management and employee engagement.

One of the biggest changes you can implement is encouraging your organisation to embrace a different model of production.

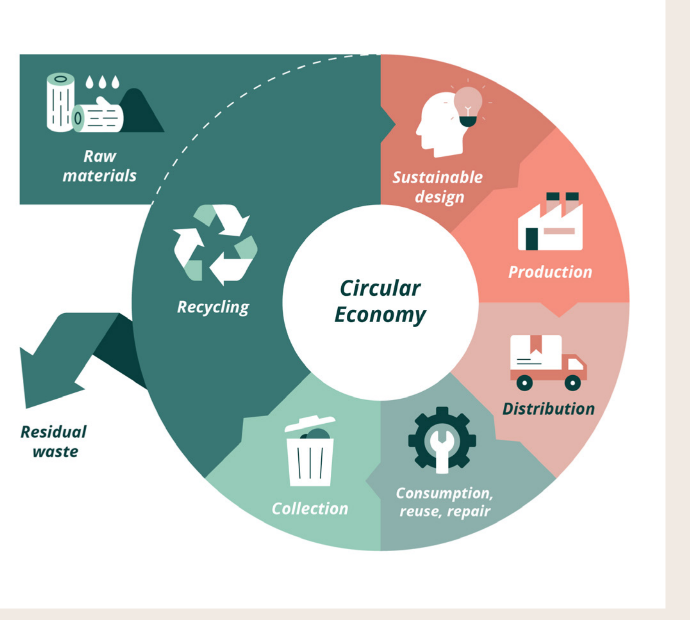
Many companies continue to base their operations around a traditional, linear economic model of 'take-make-consume-throw away'.

This approach relies on using large quantities of cheap raw materials and high amounts of energy, which makes for a highly unsustainable process.

The Circular Economy

More enlightened organisations are now taking an alternative approach, based on the concept of the ‘circular economy’. This is a model of production and consumption that encourages:

- Sharing
- Leasing
- Reusing
- Repairing
- Refurbishing
- Recycling



If practised as intended, this model extends the product lifecycle and reduces waste – when an item reaches the end of its life, its materials are kept within the economy through recycling and reuse.

Economic Sustainability

When considering economic sustainability, an organisation's first priority will always be to secure its own long-term financial viability. It must ensure it brings in enough revenue to cover its outgoings and – ideally – turn a profit.

But economic sustainability extends beyond this. A sustainable business must also seek to improve economic conditions more broadly. It should consider how its actions can contribute to a healthy and prosperous economy where every individual, organisation and community can thrive.

Achieving Economic Sustainability

There are two key ways in which employers can help to achieve wider economic sustainability.

First, by paying fair wages to their staff. And second, by paying a fair price to their suppliers.

Let's explore these two actions in more detail.

Fair Wages

Organisations can directly improve the financial situation of their own employees through the wages they pay.

All UK employers are legally required to pay their staff a minimum wage. These rates are set by the government each April.

‘Real Living Wage’

However, every year, the Resolution Foundation – an independent think tank focused on improving living standards – calculates its own ‘real Living Wage’, using data about the basic cost of living in the UK.

This rate provides a benchmark for employers who want to voluntarily go further than the government-set minimums, and ensure that their staff earn a wage they can live on.

‘Real Living Wage’ (cont.)

Since its launch in 2011, the ‘real Living Wage’ has had a huge impact. In 2024, over 15,000 UK employers paid these rates, and one in seven people worked for a ‘Living Wage Employer’.

Of course, companies don’t have to join a formal programme to provide a fair wage. But it raises awareness of considering the actual cost of living when setting rates of pay, rather than simply sticking to legal minimums.

Fair Prices

Beyond wages, employers can promote economic sustainability by paying a fair price to their suppliers – and ensuring they pay them on time.

This helps to strengthen the financial position of the businesses in their supply chain, enabling them to invest, grow and provide stable employment.

Timely and fair payments are especially important for smaller suppliers, who may have less bargaining power than their larger counterparts, and are more vulnerable to cashflow issues.

Fairtrade Movement

This idea came to prominence in the early 1990s, with the launch of the Fairtrade movement, and its campaign to secure better prices for small-scale farmers.

The system works through a certification process. To receive a certificate and display a 'FAIRTRADE Mark' on their products, companies must pay their suppliers a fair price for their goods.

The price is made up of two elements. The first is the 'Fairtrade Minimum Price', which defines the lowest possible rate that a buyer must pay a producer.

Fairtrade Movement (cont.)

It is set in consultation with farmers, workers and traders, to guarantee that producers receive a price that covers what it costs them to grow their crops.

On top of this is the 'Fairtrade Premium', an extra sum paid above the minimum price. Farmers and workers invest this money in social, environmental and economic development projects, to improve both their own businesses and their communities.

The first UK Fairtrade certificate was issued in 1994, to a Green & Black's chocolate bar made using cocoa grown by farmers in Belize. Since then, the movement has expanded to cover many other commodities, including tea, coffee, bananas, sugar, ice cream – and even flowers and footballs.

Importance of Economic Sustainability

Of course, the Fairtrade movement applies mainly to agriculture, and so is not relevant to every business.

But all companies can make a significant impact on economic sustainability by considering how much they pay for their raw materials, and how their suppliers could invest this money.

In prioritising economic sustainability, organisations can not only improve their own financial outlook, but also contribute to the overall economic health and resilience of the communities in which they operate.

Economic sustainability covers far more than just securing your organisation's own long-term future. It is about investing in your employees, your supply chain and your local communities to create a productive economy in which everyone has the opportunity to thrive.

Social Sustainability

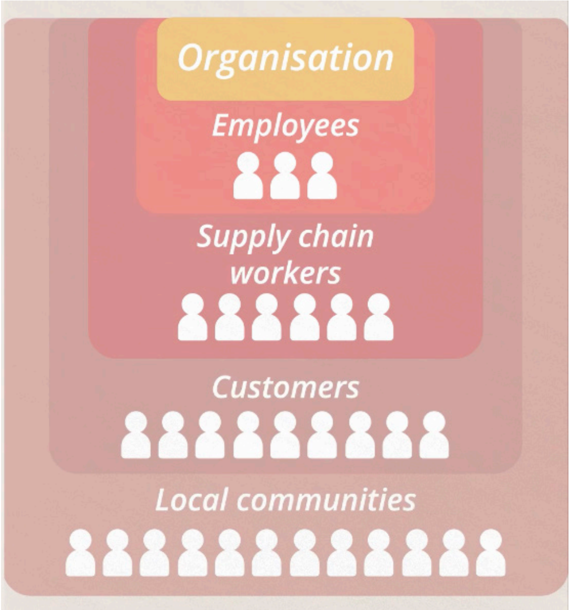
Historically, when organisations have considered sustainability, the social aspect has often been overlooked in favour of environmental and economic concerns.

However, in recent years, employers have started to pay more attention to social issues such as human rights, community engagement, and equality, diversity and inclusion.

Companies are beginning to recognise their responsibility to meet the needs of everyone affected by how they do business.

Organisations' Impact on People

How organisations operate has a direct impact on people's lives. A company's policies and practices affect not only employees, but workers in the supply chain, customers, and local communities as well.



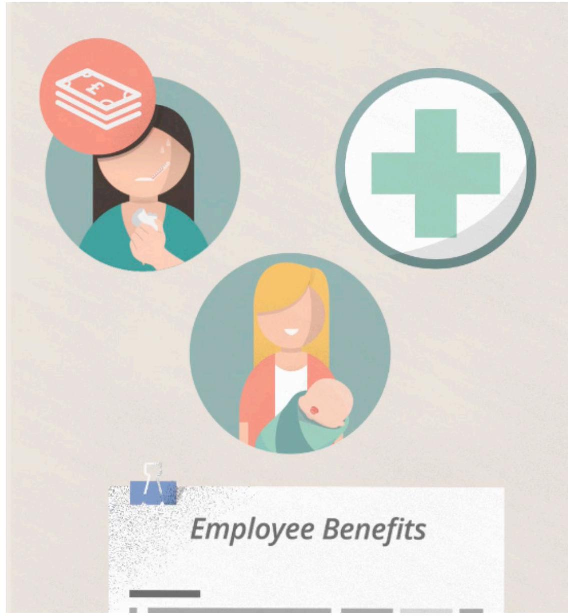
Social sustainability involves recognising these impacts, and operating responsibly as a result. It requires companies to look beyond just making a profit, and consider the wellbeing of everyone involved in – and affected by – their business.

By integrating social sustainability into their practices, employers can help to address societal challenges, foster equality, and contribute to the long-term health of both their own organisation and wider society.

Labour Practices

Internally, this involves ensuring fair labour practices, providing safe working conditions, and promoting equality, diversity and inclusion across the organisation.

For example, a socially sustainable business might offer benefits like paid sick leave, healthcare, and paid parental leave to support the wellbeing of employees and their families.



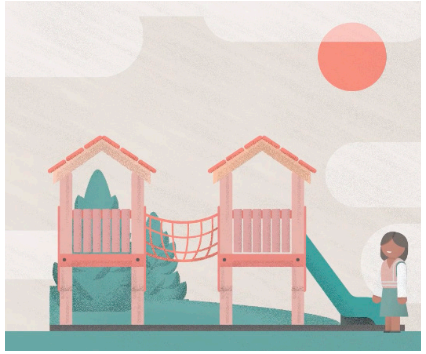
Inclusivity Initiatives and Training

Organisations may also develop ‘positive action schemes’, to intentionally recruit from underrepresented or marginalised groups, and foster a workplace that celebrates diverse perspectives.

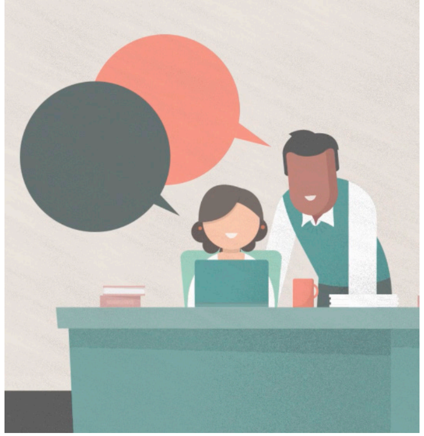
And they might provide management training to prevent bias in promotion decisions, ensuring that all employees have equal opportunity to succeed, regardless of their background.

Community Engagement

But socially sustainable businesses should also strive to create a positive impact beyond their own operations. They can do this in a number of ways.



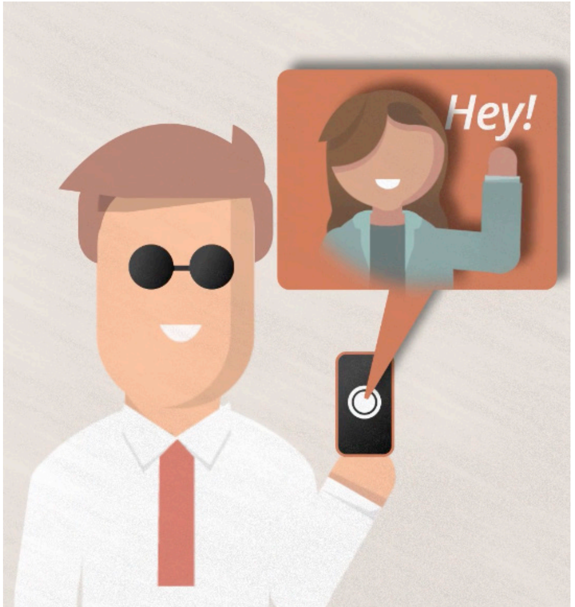
First, they should engage with their local communities. For instance, a socially sustainable company might operate a volunteering scheme, to allow its employees to spend time working on community projects.



Or it might offer internships and mentoring for young people who live in the local area – to give them valuable work experience, and the chance to develop their professional skills.

Product Design

Second, companies should consider the impact of their products and services on customers and wider society.



For example, a technology company might develop products with inclusive design principles, to ensure they are accessible to people with disabilities.

A healthcare company could focus on making sure that affordable, high-quality medical services are available to those in low-income or rural areas.

And a financial services firm may provide affordable banking solutions, designed to help underserved communities save money, manage debt, and enhance their financial security.

Entire Supply Chain

Lastly, socially responsible companies understand that their commitment to sustainability extends to their entire supply chain.

They should ensure that any products they buy, and any services they use, are sourced and produced in a way that respects fair labour practices and human rights.

For instance, a business committed to social sustainability might check its supply chain to make sure that workers are paid fair wages. And, that they operate in safe conditions, and there is no forced or child labour.

Companies may also work with their suppliers to develop programmes to improve wellbeing, such as providing access to healthcare, skills training, or even housing.

Importance of Social Sustainability

By taking steps to improve their social sustainability, organisations can drive positive change, not just within their own operations, but across their entire supply chain and the communities they serve.

True social sustainability is about more than just a set of policies – it is a holistic approach to doing business that considers the broader societal impact of a company’s actions.

Creating inclusive and diverse workplaces, engaging with local communities, offering ethical products and services, and ensuring fairness throughout their supply chains helps socially sustainable businesses to make a significant and lasting impact on people’s lives, while fostering long-term growth and success.

Why Become a Sustainable Business?

Having explored the three pillars, let’s now focus further to take a look at the economic and reputational benefits that draw businesses towards sustainability – and the legal and regulatory requirements that compel them to change their practices.

Generally speaking, there are two primary drivers of organisations adopting sustainable business practices – they can be termed ‘push’ and ‘pull’ factors.

Push Factors

'Push factors' refer to external pressures that compel businesses to change. The most prominent of these are legal and regulatory requirements.

Governments worldwide are increasingly enacting laws and regulations that demand more sustainable practices from organisations.

These external mandates 'push' companies to adapt their operations to comply with evolving legal frameworks.

Pull Factors

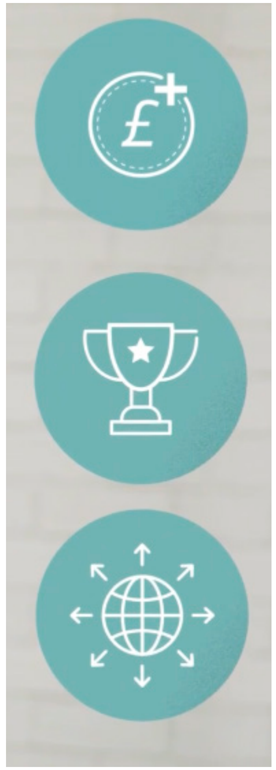
On the other hand, 'pull factors' highlight the economic and reputational benefits that draw businesses towards sustainability.

Employers are increasingly recognising the benefits of sustainable practices, such as financial savings, enhanced brand reputation and greater customer loyalty.

Moreover, sustainability can help businesses to attract top talent and appeal to a growing base of environmentally and socially conscious consumers.

Financial Gain

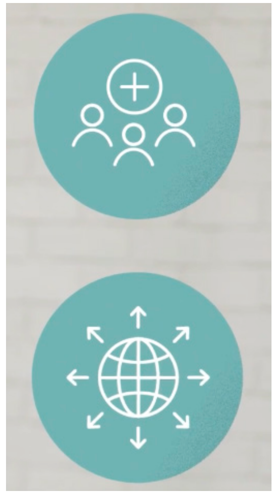
Indeed, there is a strong business case to be made for sustainability and CSR. Employers that embrace a sustainable approach can see a range of benefits, including cost savings, an enhanced employer brand and access to new markets.



While some may be skeptical about the financial benefits of spending money on sustainability initiatives, the long-term advantages often far outweigh any initial outlay.

Although it’s true that implementing sustainable practices – such as upgrading to more energy-efficient technologies or transforming supply chains – can incur short-term capital costs, the savings achieved typically offset these upfront expenses over time.

Reputational Benefits



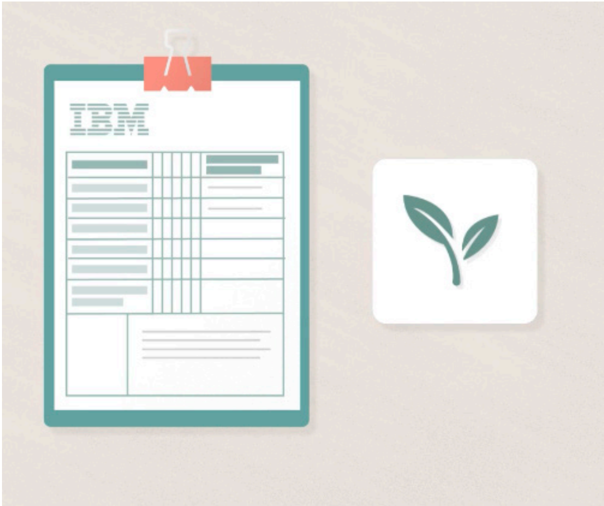
Beyond financial savings, showing a strong commitment to sustainability may significantly enhance a company’s reputation.

Organisations with strong sustainability credentials are often viewed more favourably by the public, which can help to attract new employees and gain access to new markets.

Talent Acquisition

Research consistently shows that sustainable businesses have a competitive edge when it comes to attracting talent.

For example, a survey by IBM found that 69% of workers were more likely to accept a job with an environmentally sustainable organisation, while nearly half were willing to take a pay cut for the privilege. And 70% of employees said they would stay longer with an employer that demonstrates its commitment to environmental sustainability.



Talent Acquisition (cont.)

The consumer goods firm Unilever also provides a solid example of how sustainability can drive talent acquisition. The company has positioned itself as a global leader in sustainable business practices.

It has made public commitments to reach net zero carbon emissions by 2039, and provide a living wage to people working across its supply chain.

In 2021, Unilever reported that in 54 of the 75 markets where it tracks employee engagement, sustainability was the number one reason that people joined the company.

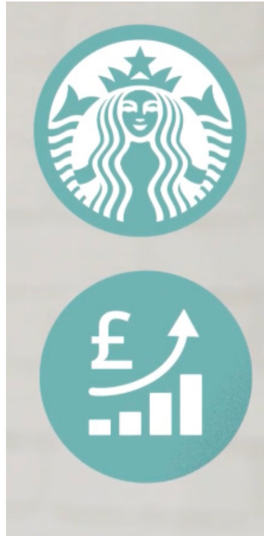
Marketplace Advantage

Sustainability also helps companies to stand out in the marketplace. As consumers become more environmentally and socially conscious, they are increasingly seeking to buy from brands that align with their values.

The same IBM research also found that 84% of global consumers factor sustainability into their brand choices, and over half are willing to pay a premium for products from “environmentally responsible” companies.

Business Sustainability in Practice

We can see this kind of thinking in action by looking at the approach taken by the coffee chain Starbucks.



Starbucks pays above-market prices for its coffee beans, a decision driven by its commitment to buying only from suppliers that meet rigorous economic, social and environmental standards. These include protecting workers' rights, conserving water, and promoting biodiversity.

Broad Benefits

This strategy is justifiable on ethical grounds. But it also makes practical and economic sense.

From an ethical perspective, Starbucks ensures that coffee farmers receive a fair price for their crops, which helps to improve their livelihoods.

From a business standpoint, paying a premium can secure a reliable and high-quality supply of coffee beans, ensuring the company can maintain the standard of its products.

And economically, Starbucks' customers are willing to pay more for ethically sourced coffee, which boosts the company's financial bottom line.

Continuous Improvement and Evolution

Despite its sustainability efforts, Starbucks still has more to do when it comes to mitigating its impact on the planet. For example, in 2023 just 2% of the chain's drinks were sold in reusable cups, meaning that the company continues to manufacture millions of paper cups and generate a lot of waste.

However, while there is still work to be done, Starbucks' commitment to ethical and sustainable business practices sets a positive example for the industry and demonstrates the potential for companies to balance profitability with social and environmental responsibility.

Legal and Regulatory Requirements

Although the business case for sustainability is compelling, organisations must also contend with growing political, legal and regulatory requirements to implement more sustainable business practices.

Failure to comply with these regulations can lead to significant fines, reputational damage and even prison time.

Legislation

Over the past few decades, governments around the world have introduced a growing number of laws designed to compel businesses to protect the environment, safeguard employees and consumers, and contribute positively to society.

This shift in legal responsibility has forced organisations to reconsider their operational practices, placing a greater emphasis on CSR and sustainability.

Environmental Protection Act 1990

In the UK, one of the earliest pieces of legislation to address sustainability was the Environmental Protection Act 1990.

This landmark law requires organisations to dispose of their waste in a way that does not cause pollution or environmental harm.

Violations of the act carry severe penalties, including fines and custodial sentences of up to five years.

Environment Act 1995 and Climate Change Act 2008

This was followed by the Environment Act 1995, which further expanded environmental protections, focusing on pollution control and the conservation of biodiversity.

In 2008, the UK also introduced the Climate Change Act, which established legally binding commitments to reduce the country's greenhouse gas emissions.

And, the government has made a commitment for the whole of the UK to reach 'net carbon zero' by 2050.

Equality Act 2010

However, legislation addressing sustainability isn't limited to environmental issues.

For example, the Equality Act 2010 ensures that businesses uphold equality and fairness in the workplace. It prohibits discrimination on the grounds of gender, race, age, disability, and several other protected characteristics.

By requiring employers to provide equal opportunities for all employees, the Act contributes to a more inclusive and equitable society. These regulations also require companies with over 250 employees to disclose their gender pay gap data, encouraging greater transparency and accountability in promoting equality within the workplace.

Modern Slavery Act 2015

And several laws have now been introduced to tackle ethical concerns.

For instance, the Modern Slavery Act 2015 calls for businesses to take proactive measures to identify, prevent and mitigate the use of forced labour – not only in their own operations, but also throughout their supply chains.

As a result, many companies have reassessed their procurement practices, to ensure they meet higher ethical standards and protect human rights.

Companies Act 2006

But arguably the most significant piece of legislation to target business sustainability is the Companies Act 2006.

This requires large organisations to report on a range of sustainability-related issues, including how their activities impact the environment, human rights and social matters.

They must also report on gender diversity at board level and across the broader organisation.

This reinforces the importance of diversity and inclusion as part of a company's corporate responsibility.

Paris Agreement

On the global stage, the UK's commitment to international treaties on climate change has further strengthened the wider legal framework around sustainability.

For example, the government has signed up to the Paris Agreement, which aims to limit global warming to well below 2°C, and reach net zero carbon emissions between 2050 and 2100.

This global accord places additional pressure on businesses to reduce their carbon footprints, and adopt sustainable practices in line with international climate goals.

Broad External Pressures

Legal frameworks like these will continue to evolve, and new laws will be introduced. So, businesses that proactively embrace CSR and sustainability will be better positioned to thrive in an increasingly regulated and socially conscious marketplace.

So, businesses are coming under increasing legal and regulatory pressure to adopt CSR and sustainable business practices. But this pressure doesn't only come from governments – consumers, investors and other stakeholders are also demanding more transparency and accountability.

Companies that fail to adapt to these changing expectations risk facing legal penalties, reputational damage and loss of market share. At the same time, as we've seen, those that embrace CSR and sustainability can gain a competitive advantage by enhancing their brand image, attracting talent and opening up new markets.

Global Sustainability Standards

To help effectively embed CSR and sustainability into their operations, organisations can turn to global standards and best practice frameworks for guidance.

For instance, the UN ‘Sustainable Development Goals’ provide a useful benchmark for aligning corporate sustainability efforts with global priorities.

Let’s explore another widely respected global standard that provides a comprehensive framework for improving social responsibility across organisations.

International Organization for Standardization

The International Organization for Standardization (ISO) is a worldwide federation of standards bodies. Its mission is to bring "global experts together to agree on the best way of doing things – for anything from making a product to managing a process".

Founded in 1947, the ISO's initial work focused on product weights and measures. However, the organisation has since published over 25,000 standards on everything from toys and shoes, to aeroplanes and nuclear power stations.

The aims of these standards include helping businesses reduce costs, increase productivity and access new markets.

ISO 26000

In 2010, the ISO published standard number 26000 on 'Social responsibility'. In essence, this is a best practice framework to help organisations improve their sustainability and corporate social responsibility performance.

The ISO defines social responsibility as, "the willingness of an organisation to incorporate social and environmental considerations in its decision-making, and be accountable for the impacts of its decisions and activities on society and the environment".

ISO 26000 Areas of Social Responsibility

The standard provides guidance on seven different areas of social responsibility. These are:

- Organisational governance
- Human rights
- Labour practices
- The environment
- Fair operating practices
- Consumer issues
- Community involvement and development

Each area of the standard includes detailed guidance, much of which can be enacted by leaders and managers. Let’s explore this.

Organisational Governance

The ISO considers organisational governance to be the most important factor in achieving sustainability.

A robust governance system is essential for overseeing and implementing corporate social responsibility – or CSR – practices throughout an organisation.

Human Rights

Next comes human rights. Employers must exercise due diligence to prevent violations, both within the company and its supply chain.

This includes establishing effective grievance procedures, outlawing discrimination, and recognising workers' rights to unionise and engage in collective bargaining.

Labour Practices

With respect to labour practices, at a minimum, organisations must comply with local employment laws.

However, they should also go further, by promoting work–life balance, providing development opportunities like training and apprenticeships, and ensuring equal pay for work of equal value.

The Environment

Organisations must also take responsibility for their environmental impacts. They are encouraged to improve their performance in this area by using resources more efficiently, and minimising pollution and waste.

In their purchasing decisions, companies should take into account the environmental impact of the products or services they buy over their entire lifecycles. And they should make efforts to protect and restore natural ecosystems.

Fair Operating Practices

Fair operating practices call for employers to deal with other organisations ethically. This includes eliminating bribery and corruption, ensuring transparency in any political involvement or lobbying, and avoiding behaviours such as price fixing – which can hinder legitimate competition between businesses.

The standard also calls for organisations to integrate ethical, social, environmental and gender equality criteria into their purchasing and distribution contracts.

Consumer Issues

Organisations have a responsibility to consumers as well, which is partly about designing products and services that are safe and accessible to all.

Marketing should also be fair and factual, and promote sustainable consumption. And organisations must protect their consumers’ data too.

Community Involvement and Development

Finally, organisations should foster positive relationships with their communities.

This includes respecting local cultures, and creating opportunities for employment and skills development for local residents.

Companies might also encourage and support employees to volunteer in the community.

ISO 26000: Principles of Social Responsibility

The ISO 26000 standard is also underpinned by key principles of social responsibility. These serve as the foundation for integrating CSR into every aspect of an organisation’s strategy and day-to-day operations.

Accountability
Be answerable for impacts on society, the economy and the environment

Transparency
Clearly and accurately disclose decisions and activities that impact society and the environment

Ethical behaviour
Behave based on the values of honesty, equity and integrity, demonstrating a concern for people, animals and the environment

ISO 26000: Principles of Social Responsibility (cont.)

Stakeholder engagement
Respect, consider and respond to the interests of stakeholders

Rule of law
Accept the supremacy of law and that no individual, organisation or government stands above the law

International norms of behaviour
Honour shared expectations about how to behave at the international level, while adhering to the principle of respect for the rule of law

Human rights
Protect people's basic rights and freedoms and recognise both their importance and their universality

CSR as Strategy

To be truly effective, social responsibility must be integrated throughout an organisation. Leaders should ensure that CSR principles are not only part of high-level strategy, but are also reflected in daily operations and decision-making.

By weaving CSR into the fabric of the organisation, businesses can build a culture of sustainability and accountability.

Sustainability Standards in Practice

Having explored the principles and framework of ISO 26000, let’s now turn to a real-world example of how these concepts can be applied in practice.

We’ll learn about how UK retailer Marks & Spencer (M&S) has embraced sustainability and used the ISO 26000 standard in particular to help integrate ethical and sustainable practices within its supply chain.

Strategy and Plan

In 2007, M&S unveiled a bold, company-wide strategy aimed at transforming the business into a more ethical and sustainable operation.

Named ‘Plan A’, the strategy was developed with the understanding that environmental and social responsibility were no longer optional for businesses, but critical to long-term success.

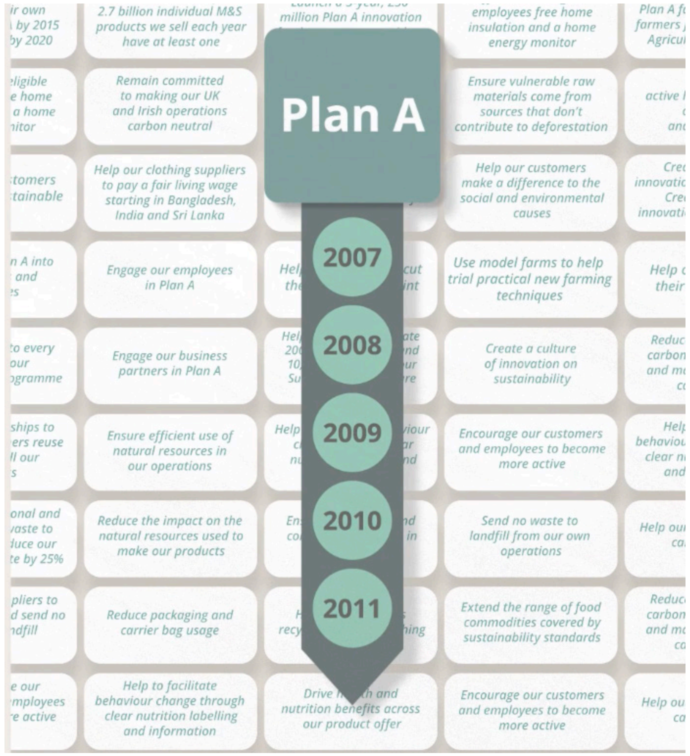
As the company’s former Chief Executive, Sir Stuart Rose, put it, “We’re calling it Plan A because we believe it’s now the only way to do business. There is no Plan B”.

Commitments and Goals

Initially launched as a five-year programme, ‘Plan A’ consisted of 100 distinct commitments, spanning every aspect of the business.

These included economic targets, such as the creation of a £50 million ‘innovation fund’ to support sustainable practices.

There were also environmental goals, like cutting carbon emissions, as well as social initiatives. For example, offering work placements for people facing barriers to employment.



Continuous Development

The strategy set ambitious standards for M&S to become not only a market leader in sustainability, but a responsible ‘corporate citizen’ with a clear conscience about its impact on society and the planet.

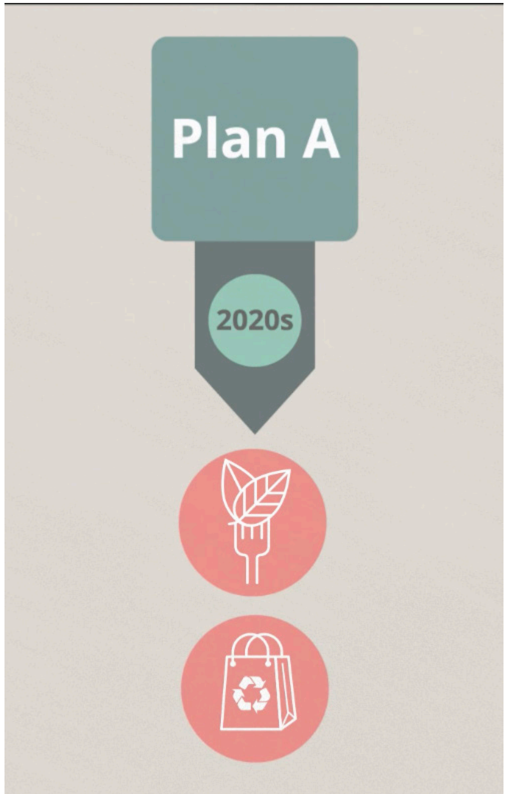
Over time, ‘Plan A’ has evolved, and M&S has updated the strategy multiple times, broadening its scope to include new goals that reflect the shifting landscape of sustainability.

Updated Priorities

One update in the 2020s focused on issues such as promoting plant-based diets and addressing packaging waste.

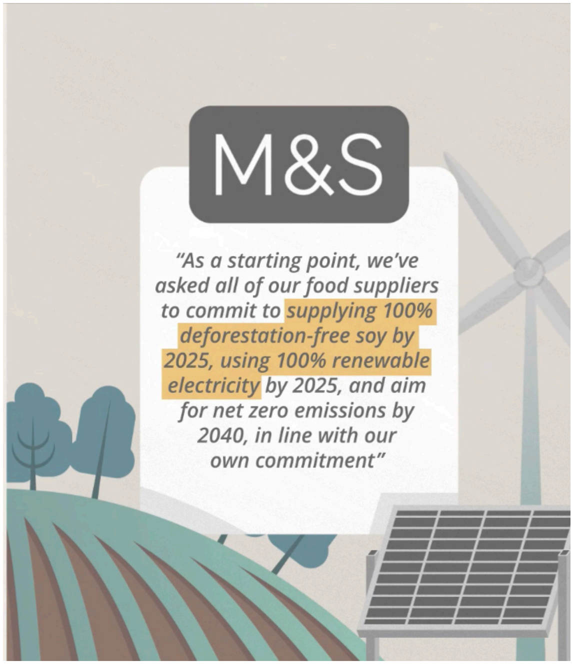
Among the priorities are goals like doubling sales of vegan and vegetarian products, halving food waste, and eliminating a billion units of plastic packaging.

But the company's number one target is to become a net zero business by 2040 – a decade ahead of the UK government's target for the nation.



Collaboration with Suppliers

Achieving net zero emissions is no small feat, and M&S recognises that the path to success lies in collaboration with its suppliers.



A staggering 94% of the company's carbon footprint comes from sourcing and manufacturing. So M&S must work closely with its partners – from farms to factories – to address these emissions.

To this end, the business has asked for some ambitious commitments from its food suppliers – such as using 100% renewable electricity and supplying completely deforestation-free soy by 2025.

Adopting Recognised Standards

A key part of achieving ‘Plan A’’s sustainability goals involved adopting the ISO 26000 standard, which promotes ethical behavior and environmental responsibility.

In 2013, M&S invited nine of its key clothing suppliers in India, Sri Lanka, and Bangladesh to integrate the standard’s principles into their business practices.

Testing, Analysis and Planning

This involved a three-day workshop in New Delhi, led by then-CEO Marc Bolland. Suppliers were introduced to the standard's core principles, including accountability, transparency and respect for human rights.

Afterwards, an analysis was conducted to pinpoint gaps in performance, and an action plan developed for each supplier to address them.

The plans outlined clear steps in areas such as improving labour conditions and the transparency of operations.

Auditing and Review

Nine months later, audits were carried out across all nine suppliers to ensure they had introduced the required changes, and were consistently applying the improvements needed to meet the sustainability targets set out by M&S.

This collaboration marked a pivotal moment in M&S's sustainability journey. By working closely with suppliers and holding them accountable for their performance, Marks & Spencer was able to create a more responsible and resilient supply chain that is better aligned with its commitment to sustainability.

Ongoing Efforts

The M&S case study is a good example of how a company can try to integrate CSR and sustainability into its business strategy.

Of course, the results are not perfect. M&S has direct contracts with over 1,000 separate suppliers and reports have linked some of the farms in its supply chain with abuses of workers' rights.

However, the company continues to work with its suppliers to protect human rights and drive responsible practices.

Organisations' Potential for Impact

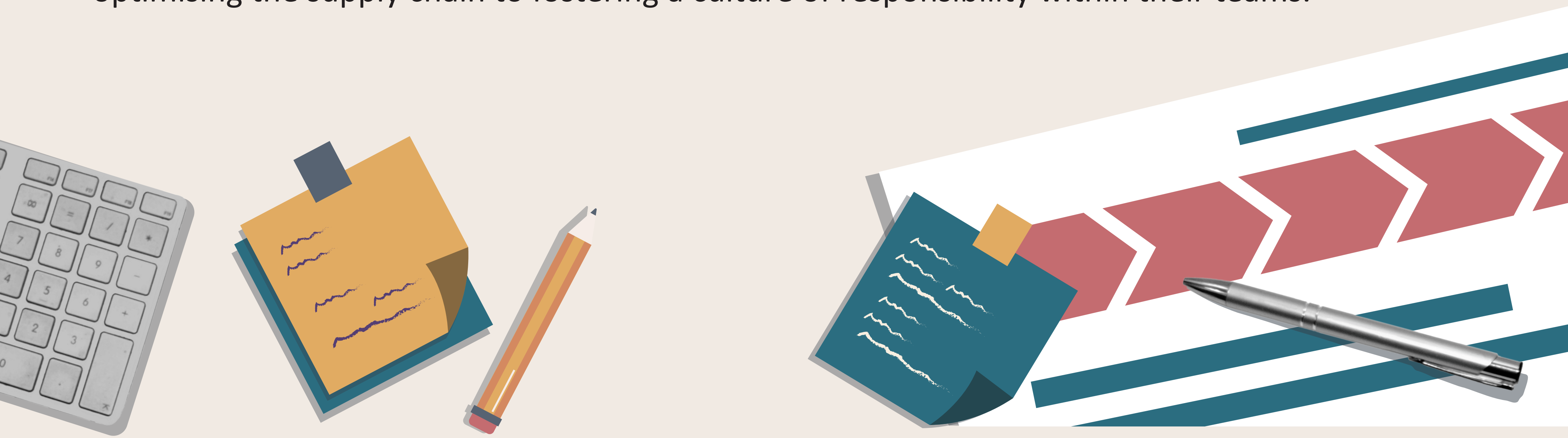
Understandably, not every business will be able to implement the kinds of changes we've looked at. Some may be constrained by their financial position and size, the economic climate, and environmental factors – all of which can influence the types of sustainable activities they choose to undertake.

However, whether through reducing waste, supporting local suppliers or prioritising fair wages, even small steps can contribute to a broader movement toward sustainability.

Managers' Role in Promoting Sustainability

Organisational leaders and managers have a crucial role to play in promoting and directing business sustainability.

With their ability to influence both high-level strategy and daily operations, they are uniquely positioned to make a significant impact on sustainability across the organisation – from optimising the supply chain to fostering a culture of responsibility within their teams.



Driving Sustainability at Your Organisation

Sustainability is no longer an optional ‘add-on’ for organisations – it’s become a fundamental part of business strategy.

As a manager, this means you may be called on to identify opportunities for improving sustainability, within your organisation and supply chain.

Review Policies and Practices

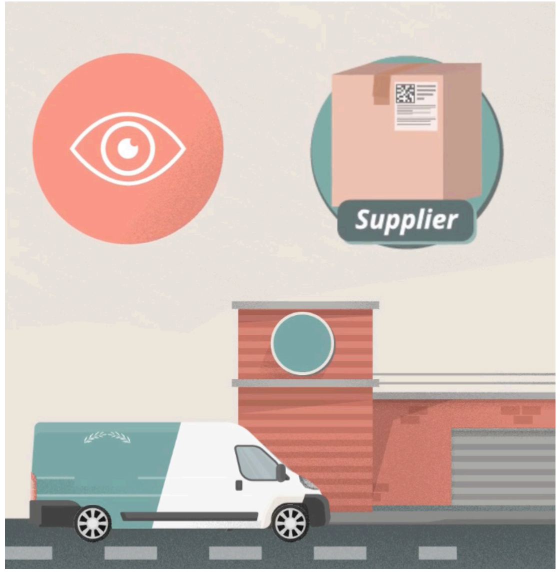
The first step is to conduct a thorough review of existing policies and practices.

Start with your internal operations – do you have clear sustainability goals, policies and metrics in place? Do you know your organisation's carbon footprint, and how your company's activities impact the environment?

Assessing these areas will help you to identify weaknesses and potential opportunities for improvement.

Monitor the Supply Chain

Next, turn your attention to your supply chain. Do you have sustainability standards for your suppliers? Are you actively monitoring their environmental and social performance?



Many businesses overlook the impact of their supply chain, but this is an area where significant improvements can often be made – particularly in areas like emissions, waste management and labour practices.

Follow Established Frameworks

Of course, reviewing every aspect of your organisation's operations can be a complex and time-consuming task.

To help you, consider structuring your review using established models and frameworks, such as Carroll's 'Pyramid of Corporate Social Responsibility', Elkington's 'Triple Bottom Line' or the ISO 26000 standard.

Choose the model that best fits your organisation's context and approach to corporate social responsibility and then assess how well your operations align with its principles.

For instance, are your company's labour practices fair and inclusive? Are you actively working to reduce waste and emissions? Do you have programmes in place to support and engage the local community?

Consider Your Impact

Once you've finished your review, consider where you, as a manager, can make the greatest impact.

Ask yourself, can I drive operational changes, such as reducing energy consumption on the production line, or eliminating excess packaging?

Could I collaborate with suppliers to improve their sustainable practices?

Or, is my influence best directed at my team – encouraging them to minimise waste, and find new ways to enhance efficiency?

Differentiate Strategic and Operational Levels

When identifying opportunities, it's helpful to differentiate between strategic and operational levels of sustainability.

At the strategic level, sustainability should be integrated into long-term goals – such as cutting carbon emissions, promoting diversity and inclusion, and protecting human rights in the supply chain.

At the operational level, you should focus on day-to-day practices such as waste reduction, energy efficiency, and community engagement. Both levels are important, so consider where your efforts will make the most difference.

Gain Stakeholder Support

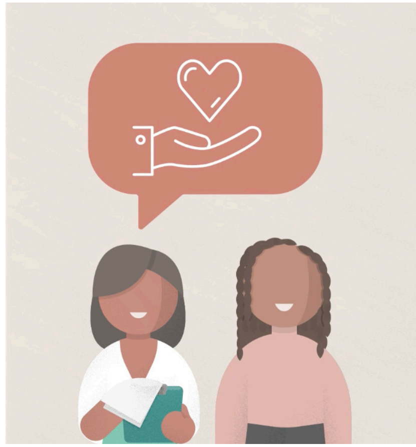
One of the biggest challenges in promoting sustainability is gaining support from key stakeholders – whether that means senior management, employees, customers or suppliers.

As a manager, you need to think strategically when it comes to persuading others about the importance of adopting more sustainable practices.

Tailor Your Message

One way to do this is by tailoring your message to each stakeholder group. For example, with senior management, you might stress the financial benefits of sustainability, like the cost savings that can be made through better energy efficiency.

For employees, you could emphasise legal and regulatory requirements, and highlight the importance of compliance. And for suppliers, you might focus on the importance of aligning with your company's values.



Foster a Culture of Sustainability

By systematically reviewing your organisation's practices and identifying areas for meaningful change, you can drive sustainability forward within your organisation.

As a manager, you have a key role in driving sustainability within your organisation. At the strategic level, you can ensure that sustainability becomes a central part of long-term planning and decision-making, while the operational level offers the chance to implement practical solutions.

Moreover, as sustainability continues to become an essential part of organisational success, your leadership can foster a culture of sustainability to encourage responsible practices and innovate for better solutions. This allows your organisation to thrive while making a positive impact on the world.

Recap

In this lesson, you have learned about:

- Introduction to the twin concepts of business sustainability and CSR
- Influential sustainability models – the 'Pyramid of CSR' and 'Triple Bottom Line'
- Three pillars of sustainability – environmental, economic and social
- The business case for sustainability and growing external pressures
- Standards and frameworks for integrating ethical and sustainable practices
- Identifying opportunities to improve organisational sustainability